

**PURCHASE AGREEMENT**

**BETWEEN**

**CITY OF CHEYENNE WYOMING,  
as Seller**

**AND**

**U.S. BANK NATIONAL ASSOCIATION  
as Buyer**

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## **PURCHASE AGREEMENT**

THIS PURCHASE AGREEMENT ("PSA") is made effective as of November 18, 2013 by and between City of Cheyenne, Wyoming, ("Seller") and U.S. Bank National Association ("Buyer").

This PSA is made with respect to the following mutually agreed upon facts:

(i) Buyer would like to acquire from Seller the Land and all existing improvements located upon the Land, on which the Project will be completed in accordance with the terms and conditions described in this PSA;

(ii) Following the acquisition of the Project by Buyer, Buyer will lease the Project back to Seller in accordance with the terms and conditions contained in that certain Lease with an Option to Purchase ("Lease"), of even date herewith, by and between Buyer as Lessor and Seller as Lessee;

(iii) Buyer has agreed to pay the Acquisition Price over time, as described in this PSA, so long as the proceeds of the Acquisition Price are used by Seller to reimburse the Seller for payments made for the Project in accordance with the terms and provisions of this PSA;

(iv) Seller has agreed to pay the Rental Payments described in the Lease in order to repay the sums advanced by Buyer to Seller for the Acquisition Price plus such other accrued interest, fees and costs in accordance with the terms provided in the Lease, with an option provided at the end of the Lease Term (as defined in the Lease) for Lessee to purchase the Project, upon the terms and conditions set forth in the Lease; and

(v) Seller finds that it is in the best interest of Seller to enter into this PSA, to sell the Project to Buyer upon the terms and conditions hereinafter set forth; and

(vi) Any capitalized term used herein which is not otherwise defined herein shall have the meaning ascribed in Article I of the Lease.

NOW, THEREFORE, in consideration of the covenants and conditions, representations and warranties, and agreements contained herein, and other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged by all parties hereto, Seller and Buyer hereby promise and agree as follows:

### **ARTICLE 1 DEFINITIONS**

In this PSA, the following terms shall have the following meanings (such definitions to be equally applicable to the singular and the plural forms):

“Acquisition Price” shall mean the actual amount paid by Buyer to Seller for the Project, which shall be paid by Buyer and adjusted in accordance with the terms and provisions of Sections ARTICLE 2 and 2.5 hereof, which amount shall not exceed the Maximum Acquisition Price. The Acquisition Price advanced under this PSA is non-revolving and once repaid may not be readvanced.

“ADA” shall mean the Americans with Disabilities Act of 1990, 47 U.S.C., Section 12101 et seq., as amended from time to time, or any regulations promulgated thereunder.

“Advance” shall mean a disbursement of Acquisition Price pursuant to the terms of this PSA.

“Advance Expiration Date” shall mean the earlier of: (i) August 31, 2015, or (ii) the date on which an Event of Default occurs under this PSA or the Lease, after which date, Seller must repay the Principal Portion of the Rental Payments under the Lease in accordance with the terms of the Lease, and after which date no additional amounts of the Acquisition Price will be advanced by Buyer to Seller hereunder.

“Advance Request” shall have the meaning set forth in Section (a) as described below.

“Appraisal” shall mean a current appraisal of the Project prepared by Appraisals, Inc., which Appraisal only determined minimum amount of the Initial Advance and is not a representation of the full and complete value of the Project, as completed. Appraisal, as used in this PSA shall also mean any appraisal required to be performed by Buyer following the date hereof, which appraisal shall be performed by a licensed and insured MAI appraiser, licensed in the state of Wyoming, which reflects the (i) the market value of the Project as completed and (ii) the “as is” market value of the Project at the time of performance of the Appraisal which shall contain such other information and analysis as Buyer shall reasonably require.

“Appraised Value” shall mean, at any time, the “as is” market value and the as completed market value of the Project as determined by Buyer from time to time, based upon the Appraisal.

“Approvals and Permits” shall mean each and all approvals, authorizations, bonds, consents, certificates, franchises, licenses, permits, registrations, qualifications, and other actions and rights granted by or filings with any Persons necessary, appropriate, or desirable for completion of the Project, for occupancy, ownership, operation and use by Seller.

“Architect” shall mean the licensed architect, space planner or design professional that Seller may engage from time to time to design any portion of the Improvements, including the preparation of Plans therefor.

“Authorized Officer” shall mean any natural person who is an officer of the Seller, or any other authorized agent of Seller certified in writing by Seller to the Buyer for the purpose of making certifications required by this PSA. Until further written notice to the Buyer, Lois Huff, City Treasurer or Robin Lockman, Deputy City Treasurer are the Authorized Officers of Seller.

“Available Principal Portion” shall mean, on any date of determination, an amount equal to (i) the Maximum Acquisition Price minus (ii) all amounts paid or advanced to Seller for the

acquisition of the Project prior to the date of such determination, whether such amounts have been advanced pursuant to an Advance Request or as a protective advance made by Buyer in order to keep the Project lien free, or a portion of the Acquisition Price that has been otherwise advanced to Seller by Buyer and related to the Project minus (iii) such amounts as may be reasonably determined by Buyer in the event of a breach of the terms and provisions of this PSA or the Lease, which may include without limitation (x) a change in scope of the construction of the Project or (y) a change in use of the Project by Seller or (z) a Material Adverse Occurrence.

“Business Day” shall mean every day except a Saturday, Sunday or public holiday on which Buyer is required or authorized to close in Cheyenne, Wyoming.

“Closing” or “Closing Date” shall mean November 18, 2013.

“Construction Schedule” shall mean the estimated dates for completion as shown on Exhibit B attached hereto and incorporated by this reference.

“Construction Contract” shall mean any agreement that Seller and any Contractor from time to time may execute pursuant to which Seller engages such Contractor to construct any portion of the Improvements under any Construction Contract.

“Construction Documents” shall mean the Plans, any contracts or agreements between the Seller and any architect or engineers which contract or agreement is related to the design, development or construction of the Project, any Construction Contract, any Subcontracts and any other contract, agreement, plans, specifications, drawings, schedules, or other items regarding the construction of the Improvements.

“Contractor” shall mean any licensed general contractor that Seller may engage from time to time to construct any portion of the Improvements.

“Default” shall mean any event which if continued uncured would, with notice or lapse of time or both, constitute an Event of Default.

“Engineer” shall mean any licensed civil, structural, mechanical, electrical, site, environmental or other engineer that Seller may engage from time to time to perform any engineering services with respect to any portion of the Project.

“Environmental Law” shall mean any and all applicable federal, state or local laws, statutes, ordinances, rules, regulations, orders, principles of common law, judgments, permits, licenses or other determinations of any judicial or regulatory authority, now or hereafter in effect, imposing liability, establishing standards of conduct or otherwise relating to protection of the environment (including natural resources, surface water, groundwater, soils, and indoor and ambient air), health and safety, land use matters or the presence, generation, treatment, storage, disposal, Release or threatened Release, transport or handling of any Hazardous Substance. The term “Hazardous Substance,” when it appears in this PSA, is used in the broadest sense and shall mean oil, any petroleum based product or derivative (and any fraction thereof), any petroleum additive, pesticides, paints, solvents, polychlorinated biphenyls, lead, cyanide, DDT, acids, bases, ammonium compounds, ethylene glycol, antifreeze, asbestos (in any form), chemicals, or any substance or material defined or designated as hazardous, toxic, regulated, or other similar

term, by any Environmental Laws. The term "Environmental Law" includes without limitation to: the Comprehensive Environmental Response, Compensation and Liability Act, 42 U.S.C. § 9601 et seq.; the Solid Waste Disposal Act, as amended by the Resource Conservation and Recovery Act, 42 U.S.C. § 6901 et seq.; the Emergency Planning and Community Right-To-Know Act, 42 U.S.C. §§ 11001 et seq.; the Federal Water Pollution Control Act, 33 U.S.C. §§ 1251 et seq.; the Oil Pollution Act, 33 U.S.C. §§ 2701 et seq.; the Safe Drinking Water Act, 42 U.S.C. §§ 300f-300j; the Clean Air Act, 42 U.S.C. §§ 7401 et seq.; the Hazardous Materials Transportation Act, 49 U.S.C. §§ 5101 et seq.; the Federal Insecticide, Fungicide, and Rodenticide Act, 7 U.S.C. §§ 136 et seq.; the Toxic Substances Control Act, 15 U.S.C. §§ 2601 et seq.; the Wyoming Hazardous Waste Act, Wyo. Stat. §§ \_\_\_\_\_ et seq.; Wyoming's Hazardous Waste Sites law, Wyo. Stat. §§ \_\_\_\_\_ et seq.; the Wyoming Hazardous Substances Act of 1973, Wyo. Stat. § \_\_\_\_\_ et seq.; the Wyoming Water Quality Control Act, Wyo. Stat. §§ \_\_\_\_\_ et seq.; the Petroleum Storage Tanks law, Wyo. Stat. §§ \_\_\_\_\_ et seq.; the Wyoming Air Quality Control Act, Wyo. Stat. §§ \_\_\_\_\_ et seq.; and Wyoming's Hazardous Materials Transportation Act, Wyo. Stat. §§ \_\_\_\_\_ et seq.; and all regulations promulgated under or which implement the foregoing laws.

"Event of Default" shall mean any event described in Section 6.1.

"Governmental Entity" shall mean any governmental or quasi-governmental entity, agency, authority, board, commission, or governing body authorized by federal, state or local laws or regulations as having jurisdiction over the Seller or the Project.

"Governmental Requirement" shall mean all laws, ordinances, rules, regulations, codes, orders, writs, legal requirements, injunctions or decrees of any Governmental Entities applicable to the Seller or the Project.

"Impositions" shall mean all taxes and assessments on the Project as described in the Lease.

"Improvements" shall mean any and all buildings, facilities, sidewalks, curbs, gutters, landscaping, hardscaping, sprinklers, electric lines, gas lines, telephone lines, cable television lines, fiber optic lines, pipelines and other utilities) necessary to make the Project suitable for the business to be conducted by Seller at the Project under the Lease, including the following construction and improvement of existing buildings located upon the Land, which shall be completed following the Closing Date: the partial demolition and renovation of the existing facility known as the Cheyenne Public Safety Center located at 420 West 17th Street, Cheyenne, Wyoming, and the construction of an additional two floors on top of such Cheyenne Public Safety Center and the support and utilities and other services related for such an additional floors, which shall hereinafter also be referred to as the "New Construction."

"Initial Advance" shall mean \$2,000,000, which amount is a portion of the Maximum Acquisition Price and is being advanced by Buyer to Seller on the Closing Date.

"Insurance Premiums" shall mean all premiums paid for any insurance, both liability, property and other insurance, required to be carried by either Buyer or Seller related to the Project, under either the Lease or this PSA.

“Interest Portion” means the Interest Portion of the total Rental Payments under the Lease calculated at the Interest Rate, as such Interest Portion may be adjusted from time to time as the Interest Rate is adjusted, the Acquisition Price to be advanced under this PSA is adjusted and the Principal Portion is repaid under the Lease. The Interest Portion does not include any portion of the total Rental Payments paid as Additional Rentals or as any part of the Non-Use Fee. An example of the calculation of the Interest Portion is set forth in the chart on Exhibit A of the Lease.

“Interest Rate” shall have the meaning set forth on Exhibit A of the Lease.

“Lien or Encumbrance” and “Liens and Encumbrances” shall mean, respectively, each and all of the following: (a) any lease or other right to use the Project; (b) any assignment as security, conditional sale, grant in trust, lien, mortgage, pledge, security interest, title retention arrangement, other encumbrance, or other interest or right securing the payment of money or the performance of any other liability or obligation of the Seller with respect to the 6th Penny Sales Tax or to the Project, whether voluntarily or involuntarily created and whether arising by agreement, document, or instrument, under any law, ordinance, regulation, or rule (federal, state, or local), or otherwise not approved in advance by Buyer; and (c) any option, right of first refusal, or other interest or right.

“Material Adverse Occurrence” means any substantial and material change in the assets, business, financial condition, operations, prospects, or results of operations of any Seller Party or any other event or condition that in the reasonable opinion of Buyer (i) could materially and adversely affect the likelihood of performance by any Seller Party of any of the Obligations, (ii) could materially and adversely affect the ability of any Seller Party to perform any of the Obligations, (iii) could adversely affect the legality, validity, or binding nature of any of the Obligations, (iv) could adversely affect the enforceability of this PSA or the Lease, or (v) could materially and adversely affect the value of the Project, which in the case of any of the foregoing is not discharged or eliminated within thirty (30) days following notice from the Buyer. The parties agree that the Bankruptcy or insolvency of Seller, whether voluntary or involuntary is deemed to be a Material Adverse Occurrence. The event listed in the preceding sentence is one example of an event which is a Material Adverse Occurrence, and any other event which satisfies the criteria set forth in this definition of Material Adverse Occurrence is included as well.

“Maximum Acquisition Price” shall mean a maximum amount of \$18,000,000.

“Maximum Lease Term Date” shall have the meaning ascribed in the Lease.

“Obligations” shall mean the payment of all Rental Payments (which Rental Payments include a Principal Portion, Interest Portion and Additional Rent) and other amounts that may be due or become due under the Lease plus in the event of exercise of the option to purchase the Project contained in the Lease, the amount of the Purchase Price (as defined in the Lease) and the payment and performance by the Seller Parties of all other obligations contained in the Transaction Documents.

“Official Records” shall mean the records of the Clerk and Recorder of the County in which the Project is located.

“Permitted Encumbrances” shall have the meaning ascribed in the Lease.

“Person” shall mean any natural person, partnership, corporation, firm, association, government, governmental agency or any other entity, whether acting in an individual, fiduciary or other capacity.

“Personalty” shall mean all construction materials, equipment, materials, equipment, furniture, furnishings, fixtures and other personal property, tangible and intangible, contained within the Improvements or used in connection with the Project whether now owned or hereafter acquired by the Seller.

“Plans” shall mean the plans and specifications for construction and improvements of all or a portion of the Project, prepared by the Architect or Engineer and approved by all applicable Governmental Entities, together with any amendments or modifications thereto, copies of which shall be delivered to Buyer upon written request.

“Principal Portion” shall mean either (i) if referring to the entire amount of the Principal Portion outstanding, the aggregate amount of the Acquisition Price which has been advanced to Seller under the terms and conditions of this PSA or (ii) with respect to a Rental Payment under the Lease, the amount shown on the invoice sent to Seller by Buyer as due which will be applied to repay the portion of the outstanding Acquisition Price following the Advance Expiration Date, which as of the Closing Date is estimated and shown on Exhibit A attached to the Lease.

“Project” shall mean the Land, the Improvements existing at the Land on the Closing Date and the Improvements to be constructed by Seller on the Land following the Closing Date.

“Project Budget” shall mean the estimated amounts to be invested by the Seller in the Improvements to be constructed as part of the Project after the Closing Date, a copy of which is attached hereto as Exhibit C.

“Project Inspector” shall mean the independent architect or construction consultant which may be engaged by the Buyer, at Seller's expense, to assist in evaluation and monitoring of the construction of the Project which will occur after the Closing Date.

“Project Inspector's Report” shall mean a report issued by the Project Inspector evaluating the Plans and the status of completion of any construction at the Project, for which Seller is making an Advance Request, including, without limitation, the progress of the work, status of payment for all labor and materials performed at the Project and estimated remaining amounts available of the Maximum Acquisition Price for completion of the Project.

“PSA” shall mean this Purchase Agreement, as originally executed, and as it may be amended, modified, extended, renewed, restated, or supplemented from time to time.

“Release” shall mean any spilling, leaking, pumping, pouring, emitting, emptying, discharging, injecting, escaping, leaching, seeping, migrating, dumping or disposing of any Hazardous Material (including the abandonment or discarding of barrels, drums, tanks, and other similar containers, containing any Hazardous Material) into the indoor or outdoor environment.

“Required Accounts” shall mean those accounts at the Buyer more fully described in Exhibit E attached hereto.

“Seller Party” shall mean Seller or other subdivision of the Seller which may be created to assist with construction or operation of the Project in the future and each other entity or person that from time to time is or becomes obligated to Buyer under any Transaction Document for payment of the Obligations due thereunder.

“6th Penny Sales Tax” shall mean that certain sales tax in Laramie County, Wyoming which in accordance with the laws of the state of Wyoming was approved by voters in Laramie County, Wyoming and may be used by the Seller for special projects, such as the Project.

“Special District” means a Special District established pursuant to the Wyoming Special District Elections Act of 1994, enacted in the Wyoming Statutes § 22-29-101 et seq. or any similar governmental or quasi-governmental entities.

“Subcontract” shall mean any subcontract or purchase order entered into by any Contractor for the supply of labor, services or materials to the Project.

“Subcontractor” shall mean any party furnishing labor, services or materials to the Project under a Subcontract.

“Title Company” shall mean Laramie County Abstract & Title as agent for Chicago Title Insurance Company or any replacement title insurance company and any reinsurers or coinsurers required by Buyer, which company, reinsurers, and coinsurers shall be satisfactory to Buyer in its absolute and sole discretion under this PSA and the other Transaction Documents.

“Title Policy” and “Title Policies” shall mean, respectively, each and all title insurance policies and endorsements thereto and reinsurance or coinsurance agreements and endorsements described in this PSA.

“Total Costs” shall mean the hard costs and soft costs, as the context requires, which are actually spent on the New Construction at the Project.

“Transaction Documents” shall mean this PSA and all documents and agreements described in Section 3.3 hereof and any other agreements, documents, or instruments evidencing, securing, or otherwise relating to the PSA or Lease, as such agreements, documents, and instruments may be amended, modified, extended, renewed, or supplemented from time to time.

“Utility Charges” shall mean all amounts charge for use of Utility Services at the Project.

“Utility Services” shall mean water, sewer, gas, telephone and electrical services.

## **ARTICLE 2 PURCHASE AGREEMENT**

2.1 Purchase and Sale of the Project. Subject to and in accordance with the terms and conditions of this PSA, at Closing (i) Seller shall sell, convey, assign and deliver to Buyer, and

Buyer shall purchase for the Acquisition Price and take from Seller, the Project, and (ii) Buyer and Seller shall deliver all the Transaction Documents and satisfy all other conditions to closing described herein. Buyer agrees to make Advances to Seller with respect to construction of portion of the Improvements which are New Construction at the Project, provided that:

- (a) The Acquisition Price shall not exceed the Maximum Acquisition Price;
- (b) Buyer shall not be obligated to approve or make Advances after the Advance Expiration Date;
- (c) Buyer shall not be obligated to make any Advances, if, as a consequence of making such Advance, the outstanding amount of all Advances made, including the Initial Advance, plus the unadvanced balance of the Total Costs for the New Construction is greater than the Maximum Acquisition Price; and
- (d) The amount of Advances available shall never exceed the Available Principal Portion as of any date of determination.
- (e) Upon the occurrence of an Event of Default, Buyer, in its absolute and sole discretion and without further notice, may suspend or terminate the commitment to make Advances, even though the Maximum Acquisition Price has not been fully advanced. The termination of the commitment to make Advances shall not terminate the Lease, nor shall it terminate Seller's obligation to make the Rental Payments required under the Lease.

2.2 Title to be Delivered. At Closing, Seller shall deliver and convey to Buyer good and marketable title to the Project, free and clear of all mortgages, deeds of trust, security interests, claims, liens, and other defects of title, subject only to Permitted Encumbrances .

2.3 Interest Rate and Fees. During the Lease Term, Seller shall pay, as a part of the Rental Payments, directly or reimburse the Buyer for the following interest, fees and costs:

- (a) Interest. Seller shall pay to Buyer interest, in the amounts and at the Interest Rate as described and defined in the Lease.
- (b) Non-Use Fee. Seller shall pay to the Buyer a Non-Use Fee, as described and defined in the Lease.
- (c) Additional Rent. Seller shall pay Buyer Additional Rent, as described and defined in the Lease.
- (d) Attorneys' Costs, Expenses, and Fees. Seller shall pay attorneys' fees (which attorneys' fees shall not exceed \$30,000 for the Closing of the transaction described herein), costs, and expenses for Buyer's counsel on or before the Closing Date and during the Lease Term such other fees and costs as permitted pursuant to the terms of this PSA and the Lease.
- (e) Appraisal Fees, Title Insurance Premium, and Other Costs, Expenses, and Fees. Seller shall pay Appraisal fees, environmental and engineering consultant fees, title

insurance premiums, recording or filing fees, closing costs and other costs, expenses, and fees in the amounts specified by Buyer, payable on or before the Closing Date, and title insurance premiums, recording or filing fees, and other costs and expenses associated with the filing of UCC-1 Financing Statement in connection with Lease.

(f) Professional Fees. Seller shall, on or before the thirtieth (30th) calendar day after any bill rendered by Buyer to Seller with respect thereto, pay directly or reimburse to Buyer, at Buyer's option, for the aggregate costs of any appraisals of any portion of the Project, environmental, engineering or architectural studies or consultants' fees, the Project Inspector's fees, attorneys' fees and costs, or other costs and expenses incurred by the Buyer in connection with review or approval of the Project, enforcing payment and performance of the Obligations, exercising the rights and remedies of the Buyer under the Transaction Documents or in negotiation or documentation of any further amendment or modification of the Transaction Documents.

2.4 Voluntary Prepayment. So long as no Event of Default has occurred or is continuing after notice and the expiration of any applicable cure periods, Seller shall have the right to exercise the option to purchase the Project from Buyer described in the Lease, at any time prior to the end of the Lease Term without penalty or premium.

## 2.5 Acquisition Price

(a) Initial Advance. On the Closing Date, Buyer shall pay to Seller, in immediately available funds, an amount equal to the Initial Advance.

(b) Remaining Advances. So long as (i) no Event of Default has occurred or is continuing under this PSA or the Lease, (ii) no Acquisition Price Deficiency specified in this Section 2.5 exists; and (iii) an Advance does not exceed the limitations specified in Section ARTICLE 2 above, following receipt of an Advance Request, Buyer shall pay to Seller, in immediately available funds, an amount equal to the amount shown on the Advance Request, until the Advance Expiration Date, after which, no additional Advances will be paid by Buyer, notwithstanding that all amounts of the Acquisition Price may not have been advanced to Seller, and the Maximum Acquisition Price shall be deemed reduced to the amount that had already been Advanced prior to the Advance Expiration Date.

(c) In Balance. The Acquisition Price for the Project is "in balance" whenever, in Buyer's reasonable but sole discretion, no Acquisition Price Deficiency (as defined below) is occurring or has occurred. The Acquisition Price for the Project is "out of balance" whenever, in Buyer's reasonable but sole discretion, an Acquisition Price Deficiency is occurring or has occurred. "Acquisition Price Deficiency" shall mean a condition or event, as determined by the Buyer in its reasonable discretion, in which or as a result of which the total undisbursed balance of the Acquisition Price is insufficient to pay the remaining undisbursed amount for the Total Costs for the New Construction that is yet to be completed at the Project. Seller hereby agrees that if the Buyer determines that an Acquisition Price Deficiency exists, Seller shall, upon ten (10) days' written notice from the Buyer, furnish the Buyer with paid invoices, bills and receipts satisfactory to the Buyer and if requested by Buyer, to the Project Inspector, indicating that Seller has paid, from Seller's own funds and not from Advances of the Acquisition Price

hereunder, the costs of completing the New Construction in an amount sufficient to eliminate such Acquisition Price Deficiency.

### **ARTICLE 3 CONDITIONS PRECEDENT**

3.1 Conditions Precedent to Closing. This PSA and the Buyer's commitment to pay the Initial Advance and to continue to pay Advances of the Acquisition Price hereunder shall become effective only upon satisfaction of the following conditions precedent, including receipt and approval by the Buyer of the Transaction Documents in form and substance satisfactory to Buyer, in each case as determined by Buyer in its absolute and sole discretion.

3.2 Representations and Warranties Accurate. The representations and warranties by each Seller Party in the Transaction Documents shall be correct on and as of the date of this PSA.

3.3 Transaction Documents. Execution and delivery of the Transaction Documents described below:

- (a) this PSA, duly executed by Seller and Buyer;
- (b) Warranty Deed, duly executed by Seller;
- (c) Bill of Sale, duly executed by Seller;
- (d) the Lease, duly executed by Seller, as lessee and Buyer as lessor;
- (e) the UCC-1 financing statement(s) required to perfect the Buyer's interest in the Project (the "Financing Statements");
- (f) a collateral assignment by Seller of all Construction Documents, each Construction Contract, the Architect's Contract, the Engineer's Contract if available prior to the Closing Date, and subsequent to the Closing Date an assignment of any and all general contracts, subcontracts, contracts for material or fixtures and equipment or appliances, Plans, or construction incidental to Project, plans, Utility Service agreements, engineering rights, land planning maps, soil tests, environmental reports, surveys, permits, licenses and any other agreements, contracts and rights necessary or useful for the completion and leasing of the Project.

All of the foregoing Transaction Documents shall be in form and substance satisfactory to the Buyer and shall include consents from such third parties as Buyer deems necessary or appropriate.

3.4 Review Items. The Buyer, if the Buyer requests, shall have received and approved the following:

(a) Construction Contract. If available prior to the Closing Date, a copy of each Construction Contract, no terms, conditions or provisions of which shall be waived, modified or amended without the Buyer's prior written approval.

(b) Architect's Contract. If available prior to the Closing Date, a copy of the Architect's Contract, no terms, conditions or provisions of which shall be waived, modified or amended without the Buyer's prior written approval.

(c) Engineer's Contract. If available prior to the Closing Date, a copy of the Engineer's Contract, no terms, conditions or provisions of which shall be waived, modified or amended without the Buyer's prior written approval.

(d) Subcontracts. If available prior to the Closing Date, copies of all Subcontracts in excess of \$500,000.00 for labor or material entered into as of the Closing, certified by the Contractor, required to be updated when new Subcontracts are made.

(e) Project Budget. The estimated Project Budget, a draft of which is attached hereto as Exhibit C, which shall be based upon any fully executed Construction Contracts, Subcontracts or firm bids or estimates available prior to the Closing Date, in a form satisfactory to the Buyer, which Project budget will be updated following delivery of the items listed in Section 3.5(a) below.

(f) Financial Statements. Such financial statements and information of the Seller as may be required by Buyer, in Buyer's reasonable discretion, and with respect to Advances following the Closing Date, the financial statements and information required in the Lease.

(g) Authorization Documents. Resolutions of Seller confirming that Seller is authorized to enter into this PSA and all of the Transaction Documents.

(h) Insurance Policies. Insurance policies described in the Lease. Each of the policies shall contain a clause requiring thirty (30) days' notice to Buyer of cancellation, termination or material modification and shall list Buyer as an additional insured and loss payee thereunder. Seller shall provide proof of premiums paid and, throughout the Lease Term, shall provide evidence to Buyer no later than thirty (30) days prior to expiration of each annual policy of payment of renewal premiums and continuation of insurance coverage.

(i) Opinions. Legal opinions ("Legal Opinions") of independent counsel for Seller with respect to the Transaction Documents, in form and substance satisfactory to the Buyer (i) that the Seller is duly-formed and in good standing in the State and has the power and authority to enter into and perform its obligations under the Transaction Documents, (ii) that the transaction described in the opinion and the execution and delivery of the documentation evidencing such transaction and the performance of obligations of Seller thereunder have been duly authorized by all necessary parties, (iii) that the transaction documents are legal, valid and binding and enforceable against Seller in accordance with their terms, subject to customary exceptions, (iv) concerning such other legal matters as the Buyer may require regarding the specific transaction and the absence of conflicts with the governing documents of the entity or any other agreement, instrument or governmental order or rule to which the entity is subject and

the absence of any material litigation against the entity which would materially adversely affect the entity's ability to perform its legal obligations under the transaction documents, and (v) such other opinions specific to the entity or the transaction as the Buyer may reasonably require.

(j) Payment of Costs, Expenses, and Fees. All costs, expenses, and fees to be paid by the Seller Parties under the Transaction Documents on or before the effectiveness of this PSA, or, if applicable, the making of Advances have been paid in full.

(k) Other Actions by Seller Parties. The Seller Parties have performed all required Obligations under the Transaction Documents which Obligations are of a continuing nature after the Closing Date.

(l) Title Insurance. An ALTA 2006 Owner's policy of title insurance or an irrevocable and unconditional commitment to issue such policy issued by the Title Company and a commitment by the Title Company to issue downdate endorsements at Buyer's request insuring that Buyer is the fee simple owner of the Project, subject only to the Permitted Encumbrances, with endorsements: (i) to delete preprinted exceptions; (ii) to delete reference to any leases or tenancies that are not subordinate to the Lease; (iii) to insure pending disbursements following the Closing Date; (iv) an ALTA 9.2-06 Comprehensive Owner's endorsement; (v) an ALTA 17-06 Access Owner's endorsement. Such policy shall have a liability limit of not less than the Maximum Acquisition Price and shall provide coverage and otherwise be in form and substance satisfactory to Buyer insuring Buyer's ownership interest in the Project and Improvements. Such policy shall be accompanied by such reinsurance and coinsurance agreements and endorsements as Buyer may require in its absolute and sole discretion.

(m) Special Districts. Identification of any Special Districts affecting the Project, and at the request of Buyer, a boundary map of the such Special Districts, financial statements and outline of the debt structure of such Special Districts available to the Seller or to the public, and names and telephone numbers of the Special District manager, if any, and officers of such Special Districts.

(n) Environmental Audits. Phase I and Phase II environmental audits prepared by a licenses and insured environmental engineering company acceptable to the Buyer and in substance satisfactory to Buyer regarding the Project.

(o) Survey. Seller shall have furnished to Buyer, at Seller's expense, a ALTA improvement survey plat ("Survey") of the Project acceptable to Buyer and the Title Company issuing the Title Policy indicating, without limitation, that the Improvements currently constructed are located within the lot lines, without infringement on established easements or rights-of-way and not in violation of any ordinance including zoning ordinances which impose lot line setback requirements and parking requirements. The survey shall show the legal description of the Project as it will be insured by the Title Company, the courses and distances of the Project lot lines, all appurtenant and servient easements, setbacks, building lines and width of abutting streets, distance to nearest intersecting streets affording ingress and egress to and from the Project, and the location and dimensions of all encroachments, improvements, above or below ground easements and utilities, and designated parking spaces. The surveyor shall also certify whether or not any portion of the Improvements is located within a Federal Emergency

Management Agency identified flood-prone area of a community and if located thereon, state the map number and whether or not the Project appears in the "Flood Hazard Area." The survey must be certified as accurate by a licensed surveyor in the State of Wyoming and contain a certificate imprinted thereon in the form approved by the American Land Title Association stating that the survey is made for the benefit of the Buyer and the Title Company.

(p) Appraisal. The existing Appraisal of the Project.

(q) Engineering Studies. Copies of all engineer reports, engineering contracts, land planning maps, soils tests, drainage studies, traffic studies, erosion control plans, landscaping plans, and other documents prepared and existing for the New Construction to be completed at the Project, available at Closing, with subsequent submissions to the Buyer of reports and studies not required to be available at Closing, if requested by Buyer.

(r) Other. Other information and documents which may be reasonably requested by Buyer.

(s) Plat. Copies of any recorded plat or map delineating the entire Project.

(t) Zoning. Evidence of zoning of the property which evidence includes descriptions of all use or building conditions or restrictions affecting the Project and approved by the appropriate Governmental Entity.

(u) Contractor List. A list of all Contractors, all Subcontractors, suppliers and materialmen employed or retained in connection with the New Construction to be completed at the Project. The list shall include the name, address and telephone number of each such company or person, a general statement of the nature of the work to be done, the labor and material to be supplied, the names of materialmen, if known, and the approximate dollar value of such labor or work with respect to each if not otherwise shown on the Project Budget. The Buyer shall have the right to telephone or otherwise communicate with the Contractor, each Subcontractor or materialman to verify the facts disclosed by such list or any Advance Request or for any other purpose.

(v) Taxes. All taxes, fees and other charges in connection with the execution, delivery and recording of the Transaction Documents shall have been paid, and all delinquent taxes, assessments or other governmental charges or liens affecting the Project, if any, shall have been paid. Seller shall provide a treasurer's tax certificate ("Tax Certificate") disclosing that no general and special taxes or assessments encumbering the Project are delinquent and that the Project does not lie within any special or general assessment district except as approved by the Buyer.

3.5 Additional Conditions Precedent to First Advance following the Closing. Buyer shall be obligated to make the first Advance of the Acquisition Price following the Closing only upon satisfaction of the following additional conditions precedent, as determined by Buyer in its absolute but reasonable discretion:

(a) Delivery of Additional Construction Documents. As soon as available, but prior to the first advance following the Closing, the Buyer shall have received and approved copies of each of the following, if applicable for completion of the New Construction:

- i. Construction Contract. If applicable, a copy of each Construction Contract, no terms, conditions or provisions of which shall be waived, modified or amended without the Buyer's prior written approval.
- ii. Engineer's Contract. If applicable, a copy of the Engineer's Contract, no terms, conditions or provisions of which shall be waived, modified or amended without the Buyer's prior written approval.
- iii. Subcontracts. Copies of all Subcontracts in excess of \$500,000.00 for labor or material entered into as of the Closing, certified by the Contractor, required to be updated when new Subcontracts are made.
- iv. Updated Project Budget. Based on review of the items listed in this section, an update to the Project Budget, which shall be based upon executed Construction Contracts, Subcontracts or firm bids or estimates satisfactory to the Buyer and its Project Inspector.

(b) Delivery of Additional Collateral Assignments. Seller shall deliver to Buyer a collateral assignment for each of the additional Construction Documents delivered in accordance with this Section 3.5 in a similar form to the Collateral Assignment of Architect's Contract delivered at the Closing.

3.6 Additional Conditions Precedent to All Advances. Buyer shall be obligated to make an Advance of the Acquisition Price only upon satisfaction of the following additional conditions precedent, as determined by Buyer in its absolute

(a) Advance Request. On or before each Rental Payment Date (as defined in the Lease), Seller shall have delivered to Buyer an Advance Request in the form and containing the certifications shown in Exhibit D and including a payables list in such detail as may be required by the Buyer with respect to Advances of the Acquisition Price. Seller may submit only one (1) Advance Request every month until the Advance Expiration Date. Following receipt of the Advance Request, Buyer shall have ten (10) Business Days after receipt to review and approve or reject the Advance Request. If the Advance Request is rejected, Buyer shall provide Seller with specific information regarding the reason for the rejection and Seller shall promptly submit a new Advance Request prior to payment of the Advance described in the rejected Advance Request. The Buyer shall pay the portion of the Acquisition price noted on the Advance Request, for approved costs under the terms of this PSA. Advances shall be made on the basis of work in place for the New Construction as confirmed by the Buyer or the Buyer's Project Inspector. All Advance Requests shall be certified by an Authorized officer of Seller, and in addition to the items on Exhibit D shall contain the following details with respect to Advances requested:

(i) such details concerning the nature and amount of work and materials furnished for the New Construction, to the date of such request, including identification

of the parties performing such work and providing such materials and concerning the use of the requested Advance as Buyer may require together with invoices or other appropriate documentation for all expenses to be paid out of the requested Advance;

(ii) paid invoices and lien waivers relating to all construction of the New Construction through the date of the previous Advance Request;

(iii) full, unconditional lien waivers from all persons or entities for all labor performed and materials supplied in connection with the construction of the New Construction that was completed prior to the date of the previous Advance Request and for which final invoices were paid out of the previous Advance Request;

(iv) if required by Buyer, checks drawn on Seller's construction draw account at the Buyer to the order of Contractors and Subcontractors identified in the Advance Request; and

(v) the certification by an Authorized Officer, on behalf of Seller, that, in addition to the matters described in Exhibit D to be certified, the proceeds of the requested Advance shall be used only for the payment or reimbursement of the items described in the Advance Request and represented by the invoices or other appropriate documentation submitted in connection with the requested Advance.

(b) Title Policy Endorsements. If Buyer reasonably believes that any liens or other exceptions to title may arise based on the New Construction, then Buyer may require such continuation endorsements and date-down endorsements to the Title Policy, in form and substance satisfactory to Buyer, as Buyer reasonably determines necessary. Seller shall furnish to the Title Company such surveys and other documents and information as Buyer or the Title Company may require for the Title Company to issue such endorsements.

(c) Inspection Report. If required by Buyer, Buyer has received written evidence acceptable to Buyer from the Project Inspector or from Buyer's employee(s) performing inspections for Buyer that the New Construction complies with the Plans, and that Seller has completed the New Construction to the stage necessary to obtain the requested Advance.

(d) Approvals and Inspections by Any Governmental Entity. All inspections and approvals by any Governmental Entity required for the stage of completion of the New Construction have been obtained and Buyer has received evidence thereof satisfactory to Buyer, available at the Project site. Seller may not request and Buyer shall not approve, Advances for work for which Approvals and Permits are required prior to delivery to the Buyer of the applicable Approval or Permit.

(e) Full Compliance. Seller shall be in full compliance and shall not be in default hereunder or under any of the Transaction Documents, including this PSA, provided, however, that Buyer may, in its discretion, elect to authorize Advances notwithstanding the existence of a Default, and any Advance authorized shall be deemed to have been made pursuant to this PSA and shall not be deemed a cure of Seller's Defaults.

(f) Representations True. The representations, warranties, and covenants set forth in ARTICLE 4 and ARTICLE 5 of this PSA are true and correct on the date of the Advance, except that the representations and warranties set forth in Section 4.2 referring to the financial statements, supporting schedules, and financial reports, as the case may be, shall be deemed a reference to such statements, schedules and reports then most recently delivered to the Buyer.

(g) No Default. No Default and no Material Adverse Occurrence shall then have occurred and be continuing on the date of the request or the date of the Advance or shall result from the making of the Advance.

(h) No Proceedings. No litigation, arbitration or governmental investigation or proceeding shall be pending, or to the knowledge of the Seller, threatened against the Seller or affecting the operations of the Seller which, if determined adversely to the Seller would constitute a Material Adverse Occurrence.

(i) No Violation of Law. No order or notice shall have been made by, or received from, any Governmental Entity having jurisdiction stating that the work of development or construction is or will be in violation of any law, ordinance, code or regulation affecting the Project.

(j) No Lien Claim. No lien or notice of intent to file a lien for work or services performed in or on the Project or materials or equipment delivered thereto, shall have been recorded, filed or delivered to Seller, disbursing agent, or the Buyer; provided, however, that if there are such liens Seller shall have made arrangements satisfactory to Buyer for the disposition or bonding thereof pursuant to this PSA.

#### **ARTICLE 4**

#### **REPRESENTATIONS, WARRANTIES AND COVENANTS**

In order to induce Buyer to acquire the Project and advance the Acquisition Price, Seller, for itself, and its successor and assigns, represents, warrants and covenants as follows, which representations, warranties and covenants shall be true and correct as of the execution hereof (or, as may be appropriate, on the date of any Advance Request) and shall survive the execution and delivery of the Transaction Documents:

4.1 Organization of Seller; Authority to Enter into PSA; Nonappropriation. The Seller is a subdivision of the State of Wyoming, and has the right and power to sell and lease back the Project, and has full power and authority to enter into this PSA, to convey the Project to the Buyer, to complete the New Construction as contemplated herein and to execute and carry out the provisions of the Transaction Documents. The execution, delivery and performance of the Transaction Documents have been duly authorized by all necessary action of the Seller and no other action of the Seller is required for the execution, delivery and performance of the Transaction Documents. To the extent Seller is obligated to pay any amounts under this PSA on an ongoing basis, Seller is only obligated to pay such amounts as may lawfully be paid from funds budgeted and appropriated for that purpose during Seller's then current Fiscal Year. Should Seller fail to budget, appropriate or otherwise make available funds sufficient to pay

amounts due from Seller following the then current fiscal year, Buyer's obligation to continue to make additional advances of the Acquisition Price shall be terminated and this Purchase Agreement shall terminate at the end of the then current fiscal year, but title to the Project shall remain in the name of Buyer. Seller agrees to deliver notice to Buyer of such termination at least 90 days prior to the end of the then current fiscal year, but failure to give such notice will not extend Seller's obligations under this PSA. Seller acknowledges that delivery of notice of non-appropriation or termination under the Lease shall be deemed to be a notice of non-appropriation under the PSA and vice versa. Seller represents that the 90 day notice period provided in this Section 4.1 will be sufficient time to vacate the premises leaving it in broom clean condition in accordance with any surrender provisions in the Lease, which vacation will also include the vacation of any subtenants occupying space under any subleases entered into under the terms of the Lease. Termination in accordance with this Section does not constitute an Event of Default by Seller.

4.2 Financial Statements. Any financial statements, supporting schedules, and financial reports now or hereafter delivered to the Buyer in connection with the Transaction Documents by or on behalf of the Seller Parties are or will be true and correct in all material respects as of the dates thereof, have been or will be prepared in accordance with federal income tax reporting principles, consistently applied and fairly represent the respective financial conditions of the Seller Parties thereof as of the dates thereof and for the periods covered thereby, and no Material Adverse Occurrence has occurred in the financial conditions presented therein since the respective dates thereof.

4.3 No Litigation. Except as disclosed to Buyer in writing, there are no actions, suits or proceedings pending or, to the best of each Seller Party's knowledge, threatened against or affecting any Seller Party or any of the property or assets of a Seller Party which might adversely affect the ability of the Seller Party to perform their respective obligations hereunder or under any of the Transaction Documents, or might adversely affect the priority of the Buyer's liens and security interests with respect to the property or assets of the Seller Party.

4.4 Covenants, Zoning and Codes. Seller has complied and will continue to comply with all applicable statutes and regulations to be complied with (collectively, the "Covenants") in connection with the New Construction, including, without limitation, all statutes and regulations regarding environmental issues or the ADA. All permits, consents, approvals or authorizations by, or registrations, declarations, withholding of objections or filings with any Governmental Entity or private entity necessary in connection with the valid execution, delivery and performance of this PSA, the Transaction Documents, and any and all other documents executed in connection with any of the foregoing, or presently necessary for the New Construction at the Project, will be obtained prior to the construction of any of the Improvements which are part of the New Construction and will be valid, adequate and in full force and effect.

4.5 Compliance; Hazardous Materials Covenants. Seller represents, warrants, and covenants that the Project, and the New Construction related to the Project will strictly comply with all applicable federal, state and local laws, rules, codes created by any Governmental Entity, including, without limitation all Environmental Laws.

4.6 Access to the Property. All roads, streets, traffic turn lanes, and access ways necessary for the full utilization of the Project for its intended purposes and located outside the boundaries of the Project have either been completed or the necessary rights of way have either been acquired by the appropriate Governmental Entity or have been dedicated to public use and accepted by the appropriate Governmental Entity, and all necessary steps have been or will be taken by Seller and the appropriate Governmental Entity to assure the complete construction and installation thereof by the time needed for the use of the Project by Seller as Lessee under the Lease.

4.7 Utilities. All Utility Services necessary for the use of the Project by Seller as lessee under the Lease, are either available at the Project, or, if not, all necessary steps have been taken by Seller and the appropriate Governmental Entity or public utility company which provides such services to assure the complete installation and availability thereof when needed for use of the Project by Seller as lessee under the Lease. Buyer will reasonably cooperate with Seller to satisfy and confirm the grant of utility easements to utility providers subsequent to the date hereof in connection with development of the Project.

4.8 Responsible Parties. Seller acknowledges and agrees that the Authorized Officers will take actions and make representations, warranties, covenants and agreements, including Advance Requests hereunder, in performance of Seller's Obligations and that Buyer shall be entitled to rely upon the Seller's Authorized Officers without affecting in any manner the obligations of Seller under the Transaction Documents.

4.9 Use of Proceeds. After the Initial Advance, the proceeds from the payment of the Acquisition Price by Buyer will be used by the Seller solely to pay or reimburse Seller for costs, expenses and fees incurred by Seller, relating to New Construction at the Project, and included in the Project Budget. The purpose of Advances is a business purpose and not a personal, family or household purpose. The proceeds from the payment Acquisition Price by Buyer shall not be used to pay other obligations to the Seller, nor to make loans to, or investments in, or payment of obligations of any special district, any other enterprise created by the Seller or third party.

4.10 Solvency. The fair, salable value of the assets of Seller is in excess of the total amount of its liabilities as they become absolute and matured, and Seller is able to meet its debts as they become due and payable in accordance with the Seller's ordinary business practices.

4.11 No Conflicts. The execution, delivery, and performance by Seller of the Transaction Documents will not conflict with, or result in a violation of or a default under, to the best of Seller's knowledge: any applicable law, ordinance, regulation, or rule (federal, state, or local); any judgment, order, or decree of any arbitrator, other private adjudicator, or Governmental Entity to which Seller is a party or by which Seller or any of the assets or property of Seller is bound; any of the Approvals and Permits; or any agreement, document, or instrument to which Seller is a party or by which Seller or any of the assets or property of Seller is bound.

4.12 Execution and Delivery and Binding Nature of Transaction Documents. The Transaction Documents have been duly executed and delivered by or on behalf of Seller. The Transaction Documents are legal, valid, and binding obligations of Seller, enforceable in accordance with their terms against Seller, except as such enforceability may be limited by

bankruptcy, insolvency, moratorium, reorganization, or similar laws and by equitable principles of general application.

4.13 Accurate Information. All information in any financial statement, certificate, or other material document, and all other information delivered by or on behalf of Seller to Buyer in entering into the transaction described in the Transaction Documents is correct and complete, and there are no omissions therefrom that result in any such information being incomplete, incorrect, or misleading in any material respect as of the date thereof. There has been no Material Adverse Occurrence relative to Seller since the date of such information. In the event Seller shall discover that such information is incomplete, incorrect or misleading, the Seller shall notify the Buyer promptly and shall provide such information as shall be necessary to render the representations and warranties complete, correct and not misleading.

4.14 Compliance with Law. To the best of Seller's knowledge, neither Seller nor the Project is in violation of any law, ordinance, regulation, or rule (federal, state, or local).

4.15 Project Budget and Plans. The Project Budget contains all anticipated costs, expenses and fees to be incurred by Seller in connection with the New Construction and the Plans are complete in all respects related to the New Construction.

4.16 Affirmation. Each request for an Advance shall constitute an affirmation by Seller that the representations and warranties contained in this PSA are true, correct and complete as of the date the Advance and that the conditions precedent in ARTICLE 3 are fully satisfied or waived as of the date of the Advance.

4.17 Representations and Warranties Upon Delivery of Financial Statements, Documents, and Other Information. Each delivery by Seller to Buyer of financial statements, other documents, or information after the date of this PSA (including, without limitation, documents and information delivered in obtaining an Advance) shall be a representation and warranty that such financial statements, other documents, or information is correct and complete, that there are no omissions therefrom that result in such financial statements, other documents, or information being incomplete, incorrect, or misleading as of the date thereof, and that such financial statements accurately present the financial condition and results of operations of Seller as of the dates thereof and for the periods covered thereby, in all material respects.

4.18 Survival of Representations. All representations, warranties and covenants contained in this ARTICLE 4 and ARTICLE 5 and elsewhere in this PSA shall survive the delivery of the Warranty Deed and the other Transaction Documents, and any investigation at any time made by or on behalf of the Buyer shall not diminish its rights to rely on all of such representations and warranties and all agreements, representations and warranties made herein shall continue in full force and effect until the Obligations have been fully paid and satisfied.

## **ARTICLE 5 GENERAL COVENANTS**

Until the commitment to advance any portion of the Acquisition Price terminates in full and the Obligations are paid and performed in full, Seller agrees that, unless Buyer otherwise agrees in writing in Buyer's absolute and sole discretion:

5.1 Books and Records: Access By Buyer. Seller will maintain a single, standard system of accounting, including, without limitation, a single, complete, and accurate set of books and records of its assets, business, financial condition, operations, property, prospects, and results of operations in accordance with good accounting practices. The Buyer shall have the right from time to time after written request to examine such assets and property and to audit, copy, and make excerpts from such books, records, and documents.

5.2 Financial Information. Seller shall furnish to the Buyer copies of such certified reports, financial statements, supporting schedules and other financial data as specified in Article 5 of the Lease. When requested by Buyer, from time to time, Seller shall promptly deliver, in writing or make available to the Buyer in satisfactory manner, such further information as Buyer may reasonably request relating to any such financial statements or returns.

5.3 Financial Covenants. So long as the Lease is in effect, Seller shall comply with the financial covenants set forth in Section 5.2 of the Lease (collectively, the “Financial Covenants”).

5.4 Other Items and Information. Seller shall provide such other information concerning Seller, the Project, and the sales tax collected by the Seller under the 6th Penny Sales Tax, assets, financial condition, operations, property, and other operations of Seller as Buyer reasonably requests from time to time. In this regard, within ten (10) days upon written request of Buyer, Seller shall deliver to Buyer counterparts and/or conditional assignments as security of any and all construction contracts, receipted invoices, bills of sale, statements, conveyances, and other agreements, documents, and instruments of any nature relating to the Project or under which Seller claims title to any materials or supplies used or to be used in the Project.

5.5 Laws; Judgments; Material Agreements; Approvals and Permits. Seller shall comply with all laws, ordinances, regulations, and rules (federal, state, and local) and all judgments, orders, and decrees of any arbitrator, other private adjudicator, or Governmental Entity relating to Seller, the Project, or the assets, business, operations, or property of Seller. Seller shall comply in all material respects with all material agreements, documents, and instruments to which Seller is a party or by which Seller, the Project, or any of the other assets or property of Seller is bound or affected. Seller shall comply with all requirements contained in or required under any Covenants and all conditions and requirements of all Approvals and Permits. Seller shall obtain and maintain in effect from time to time all Approvals and Permits required for the business activities and operations then being conducted by Seller in the Project.

5.6 Taxes and Other Indebtedness. Seller shall pay and discharge, subject to the right of protest set forth in Section 5.11, before delinquency, all taxes, assessments, and governmental charges or levies imposed upon it, upon its income or profits, or upon any property belonging to it, when due, all valid and lawful claims (including, without limitation, claims for labor, materials, and supplies), which, if unpaid, might become a Lien or Encumbrance upon any of its assets or property, and before delinquency, all its other indebtedness. Upon written request by Buyer, Seller shall send evidence of such payment to Buyer, or Buyer may retain a tax service for confirmation of payment of such amounts.

5.7 Insurance. Seller and/or Contractor, as appropriate, shall maintain and deposit with the Buyer original certificates of insurance policies with evidence of payment of all premiums due, issued by insurance companies with current Best's Key Ratings of not less than A/IX and written in form and content acceptable to Buyer, with appropriate additional insured and loss payee provision in favor of Buyer, providing the minimum insurance coverages as shown on Exhibit F attached hereto and incorporated by this reference.

Each of the insurance policies shall contain a clause requiring thirty (30) day notice to Buyer of cancellation, termination or material modification. Seller shall provide proof of premiums paid and, throughout the term of the Lease, shall provide evidence to Buyer no later than thirty (30) days prior to expiration of each annual policy of payment of renewal premiums and continuation of insurance coverage. Unless otherwise agreed by Buyer in advance, required insurance may not be provided under any blanket insurance policy. All required insurance shall be procured and maintained in financially sound and generally recognized responsible insurance companies selected by Seller and approved by Buyer. All property policies evidencing required insurance shall name Buyer as an additional insured and loss payee. All liability policies evidencing required insurance shall name Buyer as additional insured. Coverage under the policies for the benefit of the Buyer may not be limited due to the acts of Seller.

The original or a certified copy of each insurance policy or, if acceptable to Buyer in its absolute and sole discretion, certificates of insurance evidencing that such insurance is in full force and effect, shall be delivered to Buyer, together with proof of the payment of the premiums thereof. At least thirty (30) days prior to the expiration of each such policy, Seller shall furnish Buyer evidence that such policy has been renewed or replaced in the form of the original or a certified copy of the renewal or replacement policy or, if acceptable to Buyer in its absolute and sole discretion, a certificate reciting that there is in full force and effect, with a term covering at least the next succeeding calendar year, insurance of the types and in the amounts required in this Section 5.7.

5.8 Commencement and Completion. Seller shall commence construction of the New Construction within a reasonable time after the date of Initial Advance, proceed diligently and without interruption, and promptly complete the New Construction on or before the Advance Expiration Date. Seller shall complete the New Construction in good and workmanlike manner and in accordance with the Plans on or before Advance Expiration Date ("Completion Date"). Seller shall obtain the issuance of a permanent certificate of occupancy or other equivalent permit required by the applicable Governmental Entity for occupancy of the New Construction and shall deliver copies thereof to Buyer on or before the Completion Date. Upon demand by Buyer, Seller shall correct any defect in the New Construction or any departure from any applicable Covenants or, to the extent not theretofore approved in writing by Buyer, the Plans. Seller understands and agrees that inspection of the Project by or on behalf of Buyer, the review by Buyer of Advance Requests and related documents and information, the making of Advances by Buyer, any actions by Buyer under ARTICLE 3, and any other actions by Buyer shall not be a waiver of Buyer's right to require compliance with this Section 5.8.

5.9 Change Orders. Without Buyer's prior written consent, Seller shall not (i) except as permitted in Section 3.5 hereof, amend or modify the Project Budget, or (ii) make or permit any amendments or modifications of the Plans, or (iii) make or permit any material amendments

or modifications of or terminate any contracts or other agreements, documents, or instruments relating to the New Construction, any of which would (a) increase the Total Costs, together with all other previous changes by more than eight percent (8%) or (b) increase the Total Costs under a Construction Contract by more than \$50,000.00. Prior to each Advance, Seller shall certify that none of the above-listed amendments or modifications has occurred and that no event has occurred nor any condition exists which would render the remaining undisbursed Acquisition Price insufficient to complete the New Construction in accordance with the Plans and payment of any non-construction costs outlined in the Project Budget.

5.10 Payment of Taxes and Claims. Seller agrees to pay and discharge all claims for labor performed and material and services furnished in connection with the Project, and to take all other steps necessary to forestall the assertion of claims or liens either against the Project, or any part thereof or right or interest appurtenant thereto, or of claims against the Buyer. Nothing herein contained shall require Seller to pay any claims for labor, materials or services, or other claims which Seller in good faith disputes and which Seller, at its own expense, is currently and diligently contesting, provided, however, that Seller shall, not later than thirty (30) days after the notice of the filing of any claim or lien against the Project or notice of intent to file such a lien, which is disputed or contested by Seller, either file a surety bond sufficient to release said claim or lien as a Lien on the Project and promptly give notice of such filing to the lienholder or claimant, or make other arrangements therefor reasonably satisfactory to the Buyer. The Buyer shall not be required to extend the Advance Expiration Date by reason of Seller's failure to pay such claims.

5.11 Indemnify Buyer. Seller agrees to pay as Additional Rent under the Lease, all amounts incurred by Buyer, for any actual or alleged damage or injury of whatsoever nature arising out of or in any way connected with the Project or arising out of Seller's breach of the provisions of this PSA. The Buyer may commence, appear in or defend any action or proceeding purporting to affect the rights, duties or liabilities of the parties hereto, or the Project and Seller shall pay as Additional Rent under the Lease all of Buyer's costs and expenses incurred thereby on demand (including reasonable attorneys' fees). This Section shall survive execution, delivery and performance of this PSA and the Transaction Documents.

5.12 Construction Materials; Fixtures. None of the Improvements which are personal property shall be purchased or installed in the Project by Seller under any security agreement, conditional sales contract or other agreement wherein the party which Seller purchases the personal property from reserves a security interest in, or the right to remove or to repossess, such items or to consider them personal property after their incorporation into the Project. Any construction materials for which Buyer authorizes an Advance is to be stored at the Project and in the Buyer's judgment must be reasonably secure from damage and theft and fully insured at all times.

5.13 Further Assurances. Seller will at any time and from time to time upon request of the Buyer take or cause to be taken any action, execute, acknowledge, deliver or record any further documents, opinions, mortgages, security agreements, financing statements or other instruments or obtain such additional insurance as Buyer in its reasonable discretion deems necessary or appropriate to carry out the purposes of this PSA and to preserve, protect and perfect Buyer's security interests intended to be created and preserved in the Project, and other

properties and assets securing the obligations of Seller under this PSA and the Transaction Documents.

5.14 Lists Contractors, Subcontractors and Materialmen. Upon written request of Buyer from time to time, Seller shall promptly furnish to Buyer a true and complete list of all contractors, subcontractors, suppliers or materialmen employed or retained in connection with the construction of the Project and, if Buyer so requests, copies of all contracts with such contractors, subcontractors, suppliers or materialmen. Each said list shall show the name, address, and telephone number of each such person, a general statement of the nature of the work to be done, the labor and materials to be supplied, the names of materialmen if known, and the approximate dollar value of such labor, work or material with respect to each. All contracts entered into or amended by Seller or its contractors relating to the New Construction, which are entered into after the date hereof shall include a disclosure that Buyer is the owner of the Project and Buyer shall be entitled to any and all information related to the Project or payment for any amounts due or to become due to any such contractors, subcontractors, suppliers or materialmen.

5.15 Subsequent Actions. Seller shall immediately notify the Buyer of any actions, suits or proceedings involving Seller that could materially and adversely affect the payment of Obligations, the performance of Seller under this PSA or the Lease, or the financial condition or operations of Seller.

5.16 Banking Relationship/Project Accounts. During the term of this PSA and the Lease, Seller shall maintain a Banking relationship with Buyer and shall keep and maintain the Required Accounts with the Buyer to facilitate completion of the New Construction and advance of the Acquisition Price.

5.17 Required Accounts; Security Agreement. Seller shall open and maintain at the Buyer the Required Accounts under the terms and conditions set forth in Exhibit E attached hereto, as well as such other accounts as Buyer may reasonably request in writing and which are commercially customary for similar projects. Seller hereby grants to Buyer a first lien security interest in and collateral assignment of each of the Required Accounts, now or hereafter established, and all funds from time to time on deposit therein. Upon the occurrence of an Event of Default, Seller grants to Buyer a full right of set-off with respect to all or any portion of the funds on deposit in the Required Accounts and any and all interest accrued thereon, if any. Buyer may, to the maximum extent permissible by law, apply any or all of the funds in the Required Accounts, including accrued interest, if any, toward the Rental Payments due from Seller as shown in the Lease and/or to any other amounts which may be due and owing under the Transaction Documents. The Buyer shall at all times have “control” of the Required Accounts for purposes of maintaining its first and prior perfected security interest therein. The Buyer shall have the right to direct the disposition of funds from any Required Accounts described on Exhibit E as “Buyer Directed.” Seller shall retain the right, subject to the terms of this PSA, to direct the disposition of funds from those Required Accounts described on Exhibit E as “Seller Directed”; provided, however, that following the occurrence of an Event of Default, the Buyer shall have the sole right to direct the disposition of funds from the “Seller Directed” Required Accounts.

5.18 Secondary Financing. Until all Rental Payments and the Purchase Price for the exercise of the option to purchase, both of which are described in the Lease have been paid in full, the Seller shall not incur nor permit any indebtedness whether or not secured by the Project or any part thereof (except the Lease) and shall not incur nor permit any assignment, pledge or encumbrance of the revenues from the 6th Penny Sales Tax (except the Lease) without the Buyer's approval, which may be withheld in Buyer's sole discretion.

## **ARTICLE 6 DEFAULT AND REMEDIES**

6.1 Event of Default. The occurrence of any of the following events (giving effect to any notice and grace period, if any, set forth below) shall constitute an Event of Default hereunder:

(a) The Seller shall default in the payment when due of any of the Obligations owing to Buyer under the terms of the Lease and such default shall continue for a period of five (5) days after the date the payment is due and payable.

(b) A Default shall occur in the due performance and observance of any of the covenants and conditions of this PSA or the Transaction Documents, other than a monetary Obligation or a Default separately described in this Section, which breach is not cured to Buyer's satisfaction within the applicable cure period for breach of such covenant or condition, and, if no specific cure period is provided, within thirty (30) days of notice of such default being sent by the Buyer to Seller.

(c) Any representation, warranty or disclosure made by Seller proves to be materially false or misleading as of the date when made, regardless of whether such representation or disclosure appears in this PSA, the Transaction Documents, or items submitted by Seller in connection therewith and the accurate information would, when compared to the representation, warranty or disclosure constitute a Material Adverse Occurrence.

(d) Any claim or lien shall be filed against the Project or any part thereof; provided, however, that no default shall exist hereunder as long as Seller has fully complied with any conditions provided herein to permit Seller's contest of such claim or lien in Section 5.10.

(e) Any material deviation shall occur in the work of the New Construction from the Plans without the approval of Buyer, or the appearance of materially defective workmanship or materials, which deviations or defects are not corrected or substantially corrected within thirty (30) days after receipt of written notice thereof from Buyer to Seller.

(f) The New Construction is delayed or suspended for a period of one hundred twenty (120) calendar days after the date of Initial Advance for any reason or the Seller does not proceed with due diligence to complete the New Construction on or before the Completion Date.

(g) Seller shall generally not pay its debts as such debts become due, or shall admit in writing its inability to pay its debts generally, or shall make a general assignment for the benefit of creditors; or any proceeding shall be instituted by Seller seeking to adjudicate it a

bankrupt or insolvent, or seeking liquidation, winding up, reorganization, arrangement, adjustment, protection, relief composition of it or its debts under any law relating to bankruptcy, insolvency or reorganization or relief of debtors, or seeking the entry of an order for relief or the appointment of a custodian, receiver, trustee, or other similar official for it or for any substantial and material part of its property; or Seller shall take any action to authorize any of the actions set forth above in this Section (g).

(h) The commencement of a proceeding against Seller seeking to adjudicate it a bankrupt or insolvent, or seeking liquidation, winding up, reorganization, arrangement, adjustment, protection, relief, or composition of it or its debts under any law relating to bankruptcy, insolvency or reorganization or relief of debtors, or seeking the entry of an order for relief or the appointment of a custodian, receiver, trustee, or other similar official for it or for any substantial part of its property that is not stayed or dismissed within sixty (60) days after receipt by Seller of written notice thereof.

(i) There occurs any Material Adverse Occurrence.

(ii) There occurs a breach in the Financial Covenants described in Section 5.2 of the Lease.

Seller acknowledges and agrees that all material non-monetary defaults are conclusively deemed to be and are defaults which entitle the Buyer to exercise any appropriate remedy, including without limitation, immediately terminate the Lease and cease making additional Advances of the Acquisition Price upon the occurrence of any such material non-monetary default after the expiration of any cure period, if applicable.

6.2 Remedies. Upon the occurrence of an Event of Default, Buyer may, in addition to any other remedies which Buyer may have hereunder or under the Transaction Documents or by law, at its option and without prior demand or notice take any or all of the following actions:

(a) Immediately terminate any further approval of Advances.

(b) Declare all Obligations under due under the Lease or other Transaction Documents immediately due and payable.

(c) Demand copies of all Plans for completion of the New Construction, and demand a list of Contractors and Subcontractors current working on the New Construction. The Buyer shall have the right at any time to discontinue any work commenced by it in respect to the Project or to change any course of action undertaken by it and not be bound by any limitations or requirements of time whether set forth herein or otherwise. Buyer shall have the right and power (but shall not be obligated) to assume any contract made by or on behalf of Seller in any way relating to the New Construction and to take over and use all or any part of the labor, materials, supplies and equipment contracted for, by or on behalf of Seller whether or not previously incorporated into the Project, all in the discretion of Buyer. In connection with any work undertaken by Buyer pursuant to the provisions of this Section, Buyer may (i) engage builders, contractors, architects, engineers and others for the purpose of furnishing labor, materials and equipment in connection with the New Construction, (ii) pay, settle or compromise all bills or claims which may become liens against the Project or which have been or may be incurred in

any manner in connection with completing the New Construction or for the discharge of liens, encumbrances or defects in title of the Project, and (iii) take such other action, or refrain from taking action under this PSA as Buyer may in its discretion determine from time to time. Seller shall be liable to Buyer for all sums paid or incurred for completing pursuant to the requirements of any Construction Contract or Subcontract whether the same shall be paid or incurred pursuant to the provisions of this Section or otherwise, and all payments made or liabilities incurred by Buyer hereunder of any kind whatsoever shall be paid by Seller to Buyer upon demand together with interest at the interest rate set forth in the Lease and any Additional Rent and other charges set for in the Lease, and all of the foregoing shall be deemed and shall constitute Advances under this PSA. For the purpose of carrying out the provisions and exercising the rights, powers and privileges granted by this Section (c), Seller hereby unconditionally and irrevocably constitutes and appoints Buyer its true and lawful attorney-in-fact to enter into such contracts, perform such acts and incur such liabilities as are referred to in said Section in the name and on behalf of Seller and hereby grants to Buyer an easement over, across, through and upon any adjacent property owned by Seller reasonably necessary and convenient to complete the New Construction. This power of attorney is coupled with an interest.

(d) Where substantial deviations from the Plans appear which have not been approved as set forth herein, or materially defective or unworkmanlike labor or materials are being used for the New Construction, or upon receipt of knowledge of encroachments to which there has been no consent, Buyer shall have the right to immediately order stoppage of the construction and demand that such conditions be corrected. After issuance of such an order in writing, no further work shall be done on the Project where there is a substantial deviation from the Plans which has not been approved as set forth herein or where there is materially defective or unworkmanlike labor or materials, without the prior written consent of Buyer unless and until said condition has been fully corrected.

(e) Terminate the obligation to pay the remaining Advances of the Acquisition Price without waiving its rights to exercise remedies under the Lease and proceed against other entities or individuals directly or indirectly responsible for repayment of the Obligations or waive any and all security for the Obligations as Buyer may in its discretion so determine, and pursue any such other remedy or remedies as Buyer may so determine to be in its best interest as provided herein or in the Transaction Documents. All remedies of Buyer provided for herein and in any other Transaction Document are cumulative and shall be in addition to all other rights and remedies provided by law. The exercise of any right or remedy by Buyer hereunder shall not in any way constitute a cure or waiver of default hereunder or under any other Transaction Document or invalidate any act done pursuant to any notice of default, or prejudice Buyer in the exercise of any of its rights hereunder or under any other Transaction Documents unless, in the exercise of its rights, Buyer realizes all amounts owed to it under such Transaction Documents.

6.3 Appraisals. Seller agrees that Buyer shall have the right but not the obligation, at Seller's expense, to obtain an appraisal of the Project, prepared by an appraiser acceptable to Buyer and in substantial conformance with governmental regulations applicable to Buyer and approved by Buyer at any time that (a) an Event of Default has occurred hereunder, (b) any damage or destruction of the Project occurs, (c) Buyer determines in its sole opinion that the Project has been physically or financially impaired in any material manner, or (d) such appraisal

is required by then current banking laws or regulations. In the event that Buyer shall elect to obtain such an appraisal, Buyer may immediately commission an appraiser acceptable to Buyer, at Seller's cost and expense, to prepare the appraisal and Seller shall fully cooperate with Buyer and the appraiser in obtaining the necessary information to prepare such appraisal. In the event that Seller fails to cooperate with Buyer in obtaining such an appraisal or in the event that Seller shall fail to pay for the cost of such appraisal and Buyer's internal appraisal review fee, immediately upon demand, such event shall constitute an Event of Default hereunder and Buyer shall be entitled to exercise all remedies available to it hereunder. In the event that any such appraisal shall determines that an Acquisition Price Deficiency exists in accordance with the terms and provisions of Section (c) hereof and Seller fails to prepay such amounts as may be required to cure the Acquisition Price Deficiency within 10 days after written notice from Buyer to Seller, such failure shall entitle Buyer to terminate the Lease and exercise any and all remedies thereunder in addition to Buyer's right to exercise all remedies available to it hereunder. In the event such appraisal is required by reason of the damage or destruction of a portion of the Project, the fair market value shall be calculated on the Project after restoration of the Improvements to the pre-damage condition.

#### 6.4 Damage or Destruction.

(a) If the Improvements, or the Project or any part thereof, are damaged or destroyed by fire or any other cause, and Seller shall desire to restore the Improvements or shall be required by the Buyer to restore the Improvements, Seller shall, subject to the provisions of this Section, immediately proceed with the restoration thereof, and shall diligently complete the work of restoration, provided that Buyer makes available to Seller as restoration progresses any insurance proceeds actually paid to Buyer in respect to such damage or destruction. If (i) in the Buyer's judgment the insurance proceeds are sufficient to complete the restoration prior to the Completion Date or such later date as Buyer may elect; (ii) the Buyer determines that its security is not impaired; and (iii) no Default exists under the Transaction Documents ("Restoration Conditions"), the Buyer shall advance the insurance proceeds to Seller as restoration progresses in the same manner as the Buyer disburses Advances of the Acquisition Price hereunder. If any one or more of the Restoration Conditions does not exist, the Buyer shall have no obligation to authorize further advances of Acquisition Price hereunder; provided, however, if, in the Buyer's judgment the insurance proceeds are insufficient to complete the restoration, Seller may satisfy such condition by paying directly for completion of the restoration in accordance with the Plans in a timely manner and fully pay the costs thereof.

(b) If in the Buyer's reasonable judgment the Restoration Conditions do not exist, such event shall be deemed an Event of Default hereunder, and the Buyer's obligation to authorize further Advances of Acquisition Price hereunder or to make insurance proceeds available for restoration shall immediately terminate. The Buyer may in such case may keep any insurance proceeds as a prepayment of the Rental Payments due under the Lease, to reduce the amounts owned by Seller under the Lease and Buyer may exercise any of the other remedies which are described in Section 6.2 hereof or in the Transaction Documents.

(c) In the case of loss, the Buyer is hereby authorized to participate in any settlement or adjustment of claims under insurance policies, as its interest may appear, and to collect and receipt for any proceeds. In the event the Buyer elects to apply the proceeds to

restoration, in keeping with the Restoration Conditions, such proceeds shall be made available, from time to time, under substantially similar terms and conditions as provided in this PSA for Advances of the Acquisition Price.

#### 6.5 Condemnation.

(a) If all or any part of the Project is expropriated, condemned, taken by power of eminent domain, or transferred in anticipation of any such circumstances by any competent authority, then the proceeds of any such award or settlement made as compensation or damages for such expropriation, condemnation, exercise of the power of eminent domain or the transfer in anticipation of any such circumstance shall be paid to the Buyer. The Buyer, at its election and subject to the provisions of Section (b), may pay or apply such amount in any one or more of the following ways and in such order as the Buyer shall determine:

- (i) to costs of collection thereof;
- (ii) payment of any expenses and fees of the Buyer associated with this PSA and the other Obligations of the Seller hereunder or under the Lease;
- (iii) to the payment of obligations incurred by the Buyer or the Seller in the repair or replacement of damage to the Improvements;
- (iv) to make payment to the Seller for the costs of restoration and repair of the Improvements; or

(b) If the Improvements or the Project or any part thereof is taken by condemnation or subject to imminent threat of condemnation, Buyer's obligation to authorize further Advances of the Acquisition Price hereunder shall immediately terminate unless, in the Buyer's reasonable judgment the Improvements can be replaced and restored in a manner which will enable it to be functionally and economically utilized and occupied as originally intended. Whether the Buyer, in its reasonable judgment, determines that the Improvements can be so restored and replaced or not, the rights and obligations of Buyer and Seller thereafter, and the handling and utilization of any condemnation proceeds actually paid to the Buyer and unadvanced Acquisition Price, shall be the same as described in the immediately preceding Section 6.4 hereof.

### **ARTICLE 7 INSPECTIONS**

7.1 Rights of Inspection; Correction of Defects; Agency. If required by Buyer from time to time, Buyer, or the Project Inspector and its agents, employees, and representatives shall have the right at any time and from time to time to enter upon the Project in order to inspect the Project. If Buyer, in its judgment, determines that any materials or work do not materially conform with the Plans or with any applicable Covenants or are otherwise not in conformity with sound building practice, Buyer shall have the right to stop the work and to order any additional scope, replacement or correction of any such materials or work regardless of whether or not such materials or work have theretofore been incorporated in the Improvements, regardless of whether Buyer's representatives have previously inspected such work or materials, and regardless of

whether Buyer has previously made Advances to pay for such work or materials. Seller shall promptly make such replacement or correction. Inspection by Buyer or by Buyer's inspectors of the Project is for the sole purpose of protecting the Buyer's ownership interest in the Project and is not to be construed as a representation by Buyer that there has been compliance with the Plans or the applicable Covenants or that the Project is free of defects in materials or workmanship. Seller may make or cause to be made such other independent inspections as Seller may desire for its own protection. Seller hereby appoints and authorizes Buyer, as Seller's agent and attorney-in-fact, to record any notices of completion, cessation of labor, and other notices that Buyer determines to be necessary to record to protect any interest of Buyer under the Transaction Documents which agency may not be exercised except upon an Event of Default. This agency and power of attorney is coupled with an interest and is irrevocable.

7.2 Effect of Inspections. Any inspections or determinations made by Buyer or lien waivers, receipts, or other agreements, documents, and instruments obtained by Buyer are made or obtained solely for Buyer's own benefit and not in any way for the benefit or protection of Seller. Buyer may accept and rely on any information from Architect, any other Person providing labor, materials, or services for New Construction, Seller, or any other Person as to labor or materials furnished or incorporated in the Project and the cost and payment therefor and as to all other matters relating to the New Construction at the Project without the necessity of verifying such information. Buyer has no obligation to Seller to ensure compliance by Architect or any other Person in carrying out the New Construction.

7.3 Verification of Costs; Audit. Buyer, directly or through its Project Inspector, shall have the right at any time and from time to time to review and verify all costs, expenses, and fees in the Project Budget. Based on its review and verification of costs, expenses, and fees in the Project Budget, Buyer shall have the right to reduce or increase the dollar amount of any line item in the Project Budget, reallocate amounts between line items in the Project Budget, reduce or increase the total amount of the Project Budget, or suspend or terminate Buyer's approval of the Project Budget, in its reasonable judgment. In addition, the Buyer shall have the right, from time to time, but not more frequently than annually unless an Event of Default exists or Seller has requested changes to the Project Budget, to audit and review Seller's or Contractor's books and records, lien waivers, payables, reports, cancelled checks and other information related to the Project and to engage consultant to conduct audits and reviews and Seller shall, upon demand, reimburse the Buyer for such expenses.

## **ARTICLE 8 MISCELLANEOUS**

8.1 No Waiver. No waiver of any default or breach by Seller hereunder shall be implied from any failure by Buyer to take action on account of such default if such default persists or is repeated, and no express waiver shall affect any default other than the default specified in the waiver and shall be operative only for the time and to the extent therein stated. Waivers of any covenant, term or condition contained herein shall not be construed as a waiver of any subsequent breach of the same covenant, term or condition. The consent or approval by Buyer to, or of, any act by Seller requiring further consent or approval shall not be deemed to waive or render unnecessary the consent or approval to, or of, any subsequent similar act.

8.2 Successors and Assigns. This PSA is made and entered into for the sole protection and benefit of Buyer and Seller, their successors and assigns, and no other person or persons shall have any right of action hereunder. The terms hereof shall inure to the benefit of the successors and assigns of the parties hereto; provided, however, that the Seller's interest hereunder cannot be assigned or otherwise transferred without the prior consent of Buyer.Notices. Any notice required or permitted to be given by Seller or Buyer under this PSA shall be in writing and will be deemed given (a) upon personal delivery or upon confirmed transmission by telecopier or similar facsimile transmission device or confirmed receipt by electronic mail in uneditable format (e.g. Adobe/PDF), (b) on the first business day after receipted delivery to a courier service which guarantees next-business-day delivery, or (c) on the third business day after mailing, by registered or certified United States mail, postage prepaid, in any case to the appropriate party at its address set forth below:

If to Seller: City of Cheyenne, Wyoming  
City Treasurer's Office  
2101 O'Neil Avenue  
Cheyenne, WY 82001  
Attention: Lois Huff, City Treasurer  
Telephone No. (307) 637-6336  
Facsimile No. N/A  
E-Mail: lhuff@cheyennecity.org

With copy to: City Attorney's Office  
City of Cheyenne, Wyoming  
2101 O'Neil Avenue  
Cheyenne, WY 82001  
Attention: Daniel White, City Attorney  
Telephone No. (307) 637-6309  
Facsimile No. N/A  
E-Mail: DWhite@cheyennecity.org

If to Buyer: U.S. Bank National Association  
Government Banking  
101 East 5th Street, 9th Floor  
St. Paul, MN 55101-1860  
Attention: Susan Moses, Vice President  
Telephone No. (651) 466-8601  
Facsimile No. (612) 210-8944  
E-Mail: Susan.Moses@usbank.com

With copy to: Perkins Coie LLP  
1900 - 16th Street, Suite 1400  
Denver, CO 80202  
Attention: Karen Samuels Jones, Esq.  
Telephone No. (303) 291-2319  
Facsimile No. (303) 291-2419  
E-Mail: KSamuelsJones@perkinscoie.com

8.4 Authority to File Notices. Seller irrevocably appoints, designates and authorizes Buyer as its agent (said agency being coupled with an interest), upon the occurrence of an Event of Default, to send to any third party any other notice or documents or take any other action that Buyer deems necessary or desirable to protect its interest hereunder, or under the Transaction Documents, and will upon request by Buyer, execute such additional documents as Buyer may require to further evidence the grant of the aforesaid right to Buyer.

8.5 Time. Time is of the essence hereof.

8.6 Amendments, etc. No amendment, modification, termination or waiver of any provisions of this PSA or of any of the Transaction Documents nor consent to any departure by Seller therefrom shall in any event be effective unless the same shall be in writing and signed by Buyer, and then such waiver or consent shall be effective only in the specific instance and for the specific purpose for which given.

8.7 Headings. The article and Section headings in no way define, limit, extend or interpret the scope of this PSA or of any particular article or section.

8.8 **JURY WAIVER. SELLER HEREBY WAIVES ANY RIGHT TO TRIAL BY JURY OF ANY CLAIM ARISING OUT OF THIS PSA OR ANY OTHER TRANSACTION DOCUMENT, WHETHER NOW OR HEREAFTER ARISING AND WHETHER SOUNDING IN CONTRACT, TORT OR OTHERWISE, AND HEREBY CONSENTS AND AGREES THAT ANY SUCH CLAIM MAY, AT BUYER'S ELECTION, BE DECIDED BY TRIAL WITHOUT A JURY AND THAT BUYER MAY FILE AN ORIGINAL COUNTERPART OR COPY OF THIS SECTION WITH ANY COURT AS WRITTEN EVIDENCE OF THE WAIVER AND AGREEMENT CONTAINED HEREIN.**

8.9 Number and Gender. When the context in which the words are used in this PSA indicate that such is the intent, words in the singular number shall include the plural and vice-versa. References to any one gender shall also include the other gender if applicable under the circumstances.

8.10 No Joint Venture. The Buyer and the Seller each have separate and independent rights and obligations under this PSA. Nothing contained herein shall be construed as creating, forming or constituting any partnership, joint venture, merger or consolidation of Seller and the Buyer for any purpose or in any respect.

8.11 Governing Law. This PSA shall be governed by and construed in accordance with the internal laws of the State of Wyoming, without giving effect to principles of conflicts of laws.

8.12 Consent to Jurisdiction and Venue. Seller hereby (a) irrevocably submits to the jurisdiction of any state court sitting in Laramie County, Wyoming or federal court sitting in the City of Cheyenne, Wyoming, in any action or proceeding brought to enforce, or otherwise arising out of or relating to, this PSA; (b) irrevocably waives to the fullest extent permitted by law any objection that Seller may now or hereafter have to the laying of venue in any such action or proceeding in any such forum; and (c) further irrevocably waives any claim that any such forum is an inconvenient forum. Seller agrees that a final judgment in any such action or proceeding shall be conclusive and may be enforced in any other jurisdiction by suit on the judgment or in any other manner provided by law. Nothing herein shall impair the right of Buyer to bring any action or proceeding against Seller in any court of any other jurisdiction.

8.13 Automatic Acceleration. Should there occur an Event of Default which would, with the giving of notice, the passage of time, or both, constitute an Event of Default hereunder and if a petition under the United States Bankruptcy Code thereafter is filed by or against Seller while such event remains uncured, all obligations hereunder shall be automatically accelerated and due and payable and the default rate of interest provided for in the Lease shall automatically apply as of the date of the first occurrence of the event which would, with the giving of notice, the passage of time, or both, constitute an Event of Default, without any notice, demand or action of any type on the part of Buyer (including any action evidencing the acceleration or imposition of the default rate of interest). The fact that the Buyer has, prior to the filing of the voluntary petition under the United States Bankruptcy Code, acted in a manner which is inconsistent with the acceleration and imposition of the default rate of interest provided for in the Lease, shall not constitute a waiver of this Section 8.13 or estop Buyer from asserting or enforcing Buyer's rights hereunder.

8.14 Severability. If any provision of this PSA or of any other Transaction Document securing or executed in connection with this PSA is, for any reason and to any extent, invalid or unenforceable, then neither the remainder of the Transaction Document in which such provision is contained, or the application of the provision to other persons, entities or circumstances, nor any other document referred to in this PSA, shall be affected by such invalidity or unenforceability, and there shall be deemed substituted for the invalid or unenforceable provision the most similar provision which would be valid and enforceable under applicable law.

8.15 Attorneys' Fees and Other Costs. Seller shall reimburse Buyer for all reasonable attorneys' fees and expenses incurred by Buyer in connection with the enforcement of Buyer's rights under this PSA and each of the other Transaction Documents, including, without limitation, attorneys' fees and reimbursements for trial, appellate proceedings, out-of-court workouts and settlements and for enforcement of rights under any state or federal statute, including, without limitation, attorneys' fees incurred in Bankruptcy and insolvency proceedings such as in connection with seeking relief from stay in a Bankruptcy proceeding or negotiating and documenting any amendment or modification of the Lease or reviewing subsequent Lease or PSA submission items. Seller shall pay all costs, including without limitation costs of title searches, title commitments, appraisals, environmental audits, third-party consultants UCC

searches incurred by the Buyer in enforcing payment and performance of the Obligations, exercising rights and remedies of Buyer under the Transaction Documents, or reviewing Lease or PSA submission items. Seller's reimbursement obligation shall be part of the Obligations evidenced and secured by the Transaction Documents.

8.16 Approvals. For purposes of this PSA and the Transaction Documents whenever the approval, consent, acceptance or satisfaction of the Buyer is required, such approval, consent, acceptance or satisfaction shall be determined by the Buyer in its sole discretion, exercised in a commercially reasonable manner, except in such instances where the Buyer has reserved the right to make determinations in its sole and absolute discretion.

8.17 Waiver of Rights. Seller and Buyer, each for itself, and for all who may claim through or under it waive the right to trial by jury on any issues between Seller and Buyer and to any issues pertaining to the Transaction Documents and as to matters pertaining to the acts of the Buyer prior to the date hereof.

8.18 Patriot Act Notice. Buyer hereby notifies Seller that pursuant to the requirements of the USA Patriot Act (Title III of Pub. L. 107-56 (signed into law October 26, 2001)), it is required to obtain, verify and record information that identifies Seller, which information includes the names and addresses of Seller and other information that will allow Buyer to identify Seller in accordance with the U.S. Patriot Act, if required in accordance with applicable law.

8.19 Governmental Claims. The Seller and its officials and employees do not waive governmental immunity by entering into this PSA and specifically retain all immunities and defenses available to them as Governmental Entities pursuant to Wyo. Stat. § 1-39-101, *et seq* and all other applicable laws, except to the extent necessary solely for the enforcement of the terms and conditions of this PSA as between the parties. Further, the Seller fully retains all immunities and defenses provided by law with regard to any action, whether in tort, contract or any other theory of law, based on this PSA. Designation of venue, choice of law and similar provisions should not be construed as a waiver of governmental immunity.

8.20 Counterparts. This PSA may be executed in counterparts, each of which shall be deemed an original, but all of which shall constitute the same document.

*[REMAINDER OF PAGE INTENTIONALLY LEFT BLANK]*

IN WITNESS WHEREOF, Seller and Buyer have executed this PSA as of the date first written above by and through their duly authorized representatives.

SELLER:

CITY OF CHEYENNE, WYOMING

By: \_\_\_\_\_  
Name: \_\_\_\_\_  
Title: \_\_\_\_\_

APPROVED AS TO FORM:

By: \_\_\_\_\_  
Name: \_\_\_\_\_  
Title: \_\_\_\_\_

ACKNOWLEDGMENT

STATE OF \_\_\_\_\_ )  
 ) ss.  
COUNTY OF \_\_\_\_\_ )

The foregoing instrument was acknowledged before me this \_\_\_\_\_ day of \_\_\_\_\_, 2013, by \_\_\_\_\_ as \_\_\_\_\_ of the City of Cheyenne, Wyoming.

Witness my hand and official seal.

My commission expires: \_\_\_\_\_

\_\_\_\_\_  
Notary Public

( S E A L )

*[SIGNATURES CONTINUE ON FOLLOWING PAGE]*

BUYER:

U.S. BANK NATIONAL ASSOCIATION

By: \_\_\_\_\_

Name: \_\_\_\_\_

Title: \_\_\_\_\_

ACKNOWLEDGMENT

STATE OF \_\_\_\_\_ )  
 )ss.  
COUNTY OF \_\_\_\_\_ )

The foregoing instrument was acknowledged before me this \_\_\_\_\_ day of \_\_\_\_\_, 2013, by \_\_\_\_\_ as Vice President of U.S. Bank National Association.

Witness my hand and official seal.

My commission expires: \_\_\_\_\_.

\_\_\_\_\_  
Notary Public

( S E A L )

*[END OF SIGNATURES]*

Exhibit A

Legal Description of the Land

## Exhibit B

### Estimated Construction Schedule

| DESCRIPTION               | ESTIMATED<br>COMPLETION<br>DATE |
|---------------------------|---------------------------------|
| Purchase of site          | completed                       |
| Schematic Design          | 12/21/2013                      |
| Design Development        | 3/25/2014                       |
| Construction Documents    | 8/1/2014                        |
| Construction Begins       | 8/4/2014                        |
| Substantial Completion    | 11/30/2015                      |
| Certificate of Occupancy  | 12/7/2015                       |
| Owner Move-In Complete    | 12/16/2015                      |
| Eleven Month Walk-Through | 10/30/2016                      |

This Exhibit B to be revised for compliance with Construction Contract, following review and approval of the Construction Contract by Buyer in accordance with Section 3.5 of the PSA.

Exhibit C  
Estimated Project Budget

| DESCRIPTION                                                                           | BUDGETED<br>AMOUNT |
|---------------------------------------------------------------------------------------|--------------------|
| Site Acquisition                                                                      | completed          |
| Design                                                                                | \$ 2,000,000       |
| Off and On Site Improvements                                                          | \$ 755,000         |
| Renovation/Reconstruction                                                             | \$ 1,821,188       |
| New Construction - Core & Shell                                                       | \$ 4,962,116       |
| New Construction - Tenant Finish                                                      | \$ 5,754,750       |
|                                                                                       |                    |
| Professional Services - Construction Manager at Risk                                  | \$ 1,519,863       |
|                                                                                       |                    |
| 5.6% Escalation to start construction before Spring, 2014                             | \$ 829,523         |
|                                                                                       |                    |
| 10% Construction Contingency                                                          | \$ 1,564,244       |
|                                                                                       |                    |
| 6% Escalation to midpoint 18 month construction                                       | \$ 1,032,402       |
|                                                                                       |                    |
| Total Projected Cost of Building (does not include furniture, fixtures and equipment) | \$ 20,239,086      |

This Exhibit C to be revised for compliance with various Transaction Documents described in Section 3.5 of the PSA that will be delivered, reviewed and approved in accordance with Section 3.5.

Exhibit D  
ADVANCE REQUEST  
U.S. BANK NATIONAL ASSOCIATION

This Advance Request ("Advance Request") is submitted to U.S. BANK NATIONAL ASSOCIATION (the "Buyer") in connection with the Purchase Agreement ("PSA") dated as of November 18, 2013, as amended from time to time between the CITY OF CHEYENNE, WYOMING (the "Seller") and the Buyer. Terms used but not defined herein shall have the meanings given in the PSA.

Date: \_\_\_\_\_

Advance Amount: \$ \_\_\_\_\_

The undersigned requests that the above sum be advanced on or before \_\_\_\_\_ (minimum 10 Business Days from the date hereof), pursuant to the terms of the PSA.

Attached hereto is a copy of the Construction Draw Request signed and certified by the general contractor as true and correct.

The undersigned certifies that the work performed on the attached Construction Draw Request has been completed and the total amounts noted at the bottom of such draw request are correct, to the best of the undersigned's knowledge.

THE UNDERSIGNED CERTIFIES THAT: (A) THE UNDERSIGNED IS FULLY AUTHORIZED BY THE SELLER TO SUBMIT THIS REQUEST FOR ADVANCE TO THE BUYER, (B) SELLER IS IN COMPLIANCE WITH ALL OF THE COVENANTS CONTAINED IN THE PSA, AND (C) THERE HAS BEEN NO EVENT OF DEFAULT UNDER THE PSA OR THE TRANSACTION DOCUMENTS WHICH HAS NOT BEEN CURED OR WAIVED, NO UNMATURED EVENT OF DEFAULT HAS OCCURRED.

SELLER:

CITY OF CHEYENNE, WYOMING

By \_\_\_\_\_  
Name: \_\_\_\_\_  
Title: \_\_\_\_\_

Attest:

By: \_\_\_\_\_  
Name: \_\_\_\_\_  
Title: \_\_\_\_\_

## CONSTRUCTION DRAW REQUEST

**NOTE:** The information you enter on this form will be submitted with an Advance Request to U.S. Bank National Association. You may print and complete it by hand or you may type it. Feel free to attach additional sheets if you need more room. Please be sure to SIGN THE FORM before submitting. For your protection we are unable to accept these forms without your signature.

CONTRACTOR'S NAME \_\_\_\_\_

PROPERTY ADDRESS 420 West 17th Street, Cheyenne, Wyoming ("Property")

DRAW NO. \_\_\_\_\_ DATE: \_\_\_\_\_

| CHECK NO. | PAYABLE TO | WORKED PERFORMED | AMOUNT |
|-----------|------------|------------------|--------|
|           |            |                  |        |
|           |            |                  |        |
|           |            |                  |        |
|           |            |                  |        |
|           |            |                  |        |
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|           |            |                  |        |
|           |            |                  |        |
|           |            |                  |        |
|           |            |                  |        |
|           |            |                  |        |

Total Acquisition Balance

Remaining to Advance \$16,000,000

Total This Draw \_\_\_\_\_

Total Draws to Date \_\_\_\_\_

Total Previous Draw \_\_\_\_\_

Balance to Draw \_\_\_\_\_

Total Draws to Date \_\_\_\_\_

The undersigned is an authorized officer of the contractor named above and hereby certifies as follows:

The undersigned entered into a Construction Contract with the City of Cheyenne dated \_\_\_\_\_, 2013 in connection with construction on the Property and no change orders or amendments to the Construction Contract have been made without the written consent of U.S. Bank National Association.

The undersigned requests an advance of the amounts shown above for the purpose of paying the subcontractors and material suppliers listed in the table above.

The undersigned certifies that the work performed to date at the Property has been completed in conformance with the plans and specifications, and that all work to date, has been completed in a good and workmanlike manner.

The undersigned certifies that it has received lien waivers, either full or partial, with respect to all amounts paid under advance requests made prior to the date hereof, and no subcontractors or material suppliers who have performed work prior to the date hereof have claims for mechanic's or materialman's liens on the Property.

The undersigned confirms that U.S. Bank National Association is relying on the truth and accuracy of the foregoing statements in making an advance of the funds noted above and should any additional documentation or information be required by U.S. Bank National Association with respect to the foregoing, the undersigned will supply it promptly upon request.

To the extent the undersigned has been paid for amounts noted in this Construction Draw Request, the undersigned waives any right it has to claim a lien on the Property.

\_\_\_\_\_  
Name of Company

By:\_\_\_\_\_

Name:\_\_\_\_\_

Title:\_\_\_\_\_

ACKNOWLEDGMENT

STATE OF \_\_\_\_\_ )  
 ) ss.  
COUNTY OF \_\_\_\_\_ )

The foregoing instrument was acknowledged before me this \_\_\_\_\_ day of \_\_\_\_\_,  
20\_\_\_\_, by \_\_\_\_\_ as \_\_\_\_\_ of the  
\_\_\_\_\_.

Witness my hand and official seal.

My commission expires: \_\_\_\_\_

\_\_\_\_\_  
Notary Public

( S E A L )

EXHIBIT E  
REQUIRED ACCOUNTS

A. Construction Account (Seller Directed). Account No. \_\_\_\_\_ has been established by the Seller at the Buyer (the "Construction Account") in accordance with the terms of the PSA. The Construction Account has been established for the purpose of disbursing the Acquisition Price to Seller. Funds withdrawn from the Construction Account may only be used for purposes set forth in the PSA. The Construction Account shall be a non-interest bearing account.

Exhibit F  
Insurance Requirements

I. PROPERTY INSURANCE –

An ORIGINAL (or certified copy) Builder's All-Risk, Completed Value, Non-Reporting Form Policy or ORIGINAL Acord 27 Certificate of Insurance naming the Seller and Buyer, as an insured, reflecting coverage of 100% of the replacement cost, and written by a carrier approved by Buyer with a current A.M. Best's Insurance Guide Rating of at least A- IX (which is authorized to do business in the state in which the property is located) that affirmatively includes the following:

1. Additional Insured Endorsement naming U.S. Bank National Association as an Additional Insured with a 30-day notice to Buyer in the event of cancellation, non-renewal or material change. A Severability of Interests provision should be included.

Address for U.S. Bank National Association is as follows:

U.S. Bank National Association  
Government Banking  
101 East 5th Street, 9th Floor  
St. Paul, MN 55101-1860  
Attention: Susan Moses, Vice President

2. Buyer's Loss Payable Endorsement with a Severability of Interest Clause with a 30-day notice to Buyer in the event of cancellation, non-renewal or material change
3. Replacement Cost Endorsement
4. No Exclusion for Acts of Terrorism, if required by Buyer
5. No Coinsurance Clause
6. Flood Insurance, if applicable
7. Collapse and Earthquake Coverage, if applicable
8. Vandalism and Malicious Mischief Coverage
9. Boiler and Machinery Coverage, if applicable
10. Demolition, Increased Cost of Construction Coverage
11. In-Transit Coverage
12. Partial Occupancy Permitted

13. Seller's coverage is primary and non-contributory with any insurance or self-insurance carried by U.S. Bank National Association

14. Waiver of Subrogation against any party whose interest are covered in the policy

## II. LIABILITY INSURANCE –

SELLER: An ORIGINAL Acord 25 Certificate of General Comprehensive Liability Insurance naming the Seller and Buyer as an insured, providing coverage on a "occurrence" rather than a "claims made" basis and written by a carrier approved by Buyer with a current A.M Best's Insurance Guide Rating of at least A- IX (which is authorized to do business in the state in which the property is located) that affirmatively includes the following:

1. Combined general liability policy limit of at least \$5,000,000.00 each occurrence, applying liability for Bodily Injury, Personal Injury, Property Damage, Contractual, Products and Completed Operations which combined limit may be satisfied by the limit afforded under the Commercial General Liability Policy, or by such Policy in combination with the limits afforded by an Umbrella or Excess Liability Policy (or policies); provided, the coverage afforded under any such Umbrella or Excess Liability Policy is at least as broad in all material respects as that afforded by the underlying Commercial General Liability Policy.

2. No Exclusion for Acts of Terrorism, if required by Buyer

3. Aggregate limit to apply per location

4. Seller's coverage is primary and non-contributory with any insurance or self-insurance carried by U.S. Bank National Association

5. Waiver of Subrogation against any party whose interest are covered in the policy

6. Additional Insured Endorsement naming U.S. Bank National Association as an additional insured with a 30-day notice to Buyer in the event of cancellation, non-renewal or material change. A Severability of Interests provision should be included.

Address for U.S. Bank National Association is as follows:

U.S. Bank National Association  
Government Banking  
101 East 5th Street, 9th Floor  
St. Paul, MN 55101-1860  
Attention: Susan Moses, Vice President

CONTRACTOR: An ORIGINAL Acord 25 Certificate of General Comprehensive Liability Insurance naming the Contractor as an insured, providing coverage on an "occurrence" rather than a "claims made" basis and written by a carrier approved by Buyer with a current A.M. Best's Insurance Guide Rating of at least A- IX (which is authorized to do business in the state in which the property is located) that affirmatively includes the following:

- A. Combined general liability policy limit in an amount of at least \$2,000,000.00 each occurrence, applying liability for Bodily Injury, Personal Injury, Property Damage, Contractual, Products and Completed Operations which combined limit may be satisfied by the limit afforded under the Commercial General Liability Policy, or by such Policy in combination with the limits afforded by an Umbrella or Excess Liability Policy (or policies); provided, the coverage afforded under any such Umbrella or Excess Liability Policy is at least as broad in all material respects as that afforded by the underlying Commercial General Liability Policy.
- B. No Exclusion for Acts of Terrorism, if required by Buyer
- C. Aggregate limit to apply per location
- D. Contractor's coverage is primary and non-contributory with any insurance or self-insurance carried by U.S. Bank National Association
- E. Waiver of Subrogation against any party whose interest are covered in the policy
- F. Additional Insured Endorsement naming Seller and U.S. Bank National Association as an additional insureds with a 30-day notice to Buyer in the event of cancellation, non-renewal or material change. A Severability of Interests provision should be included.

Address for U.S. Bank National Association is as follows:

U.S. Bank National Association  
Government Banking  
101 East 5th Street, 9th Floor  
St. Paul, MN 55101-1860  
Attention: Susan Moses, Vice President

III. WORKER'S COMPENSATION -An ORIGINAL Certificate indicating Worker's Compensation coverage in the statutory amount and Employer's Liability Coverage with minimum limits of \$500,000 / \$500,000 / \$500,000 naming the General Contractor and written by a carrier approved by Buyer.